Ⓣ AFM theory asked in Sep 2025, Jan 2026 and May 2026 — with the SM text

For each theory question: the attempt, question number and marks (ICAI), a one-line summary of the question (app-written), and the SM section(s) the answer comes from, cropped exactly as ICAI printed them. Choosing the section is app judgement; ICAI publishes the answers separately. Ordered by chapter weight in theory.

Ch	Attempt / Q	Marks	Question (summary)	SM section
4	Sep 2025 Q4(c) [either]	4	Technical analysis: favourable and unfavourable arguments	2.10 Evaluation of Technical Analysis
4	Jan 2026 Q4(c)	4	Technical analysis: identify chart patterns (uptrend, continuation/flag, head and shoulders, triangle/wedge) from descriptions, any four	2.8 Interpreting Price Patterns
4	May 2026 Q4(c) [either]	4	Elliott Wave Theory of technical analysis	2.4.2 Elliot Wave Theory
7	Sep 2025 Q3(c)	4	Risks associated with the use of blockchain technology	10.2 Risks associated with Blockchain
7	Jan 2026 Q6(c) [or]	4	Securitisation instruments: pass-through, pay-through and stripped securities	7. SECURITIZATION INSTRUMENTS
7	May 2026 Q3(c)	4	Securitisation of NPAs: benefit to the balance sheet versus regulatory and valuation challenges	11. SECURITIZATION IN INDIA
15	Sep 2025 Q1(c)	4	Steps in a business succession strategy	8.3 Business succession strategy
15	Jan 2026 Q6(c) [either]	4	Role of government in creating a sustainable environment for start-ups in India	7. STARTUP INDIA INITIATIVE
15	May 2026 Q2(c)	4	True/False on start-up finance: valuation of early-stage firms, venture capital staging, bootstrapping, angel investors	5.1 Sources of financing
2	Sep 2025 Q4(c) [or]	4	Parameters used to identify currency risk	1.4.4 Currency Risk; 4.4 Currency Risk
2	Jan 2026 Q3(c)	4	Political risk: host-government actions that signal it, and techniques to mitigate it	1.4.2 Political Risk; 4.2 Political Risk
1	Sep 2025 Q2(c)	4	Key points that make an organisation financially sustainable	6. BALANCING
1	May 2026 Q1(c)	4	Sustainable growth rate versus target growth: concerns on an extra loan request and alternative courses of action	6.1 Sustainable Growth Rate
9	Jan 2026 Q2(c)	4	Real options versus financial options: underlying asset, pay-off, exercise period, approach	9.1 How Real Option is different from Financial Option
10	May 2026 Q5(c)	2	Why transaction exposure is generally more critical than translation exposure	10. FOREIGN EXCHANGE EXPOSURE

Ch 4 Security Analysis

Sep 2025 Q4(c) [either] · 4 marks — Technical analysis: favourable and unfavourable arguments

SM 2.10 Evaluation of Technical Analysis

2.10 Evaluation of Technical Analysis

Technical Analysis has several supporters as well several critics. The advocates of technical analysis offer the following interrelated argument in their favour:

(a) Under influence of crowd psychology trend persist for some time. Tools of technical analysis help in identifying these trends early and help in investment decision making.

(b) Shift in demand and supply are gradual rather then instantaneous. Technical analysis helps in detecting this shift rather early and hence provides clues to future price movements.

(c) Fundamental information about a company is observed and assimilated by the market over a period of time. Hence price movement tends to continue more or less in same direction till the information is fully assimilated in the stock price.

Detractors of technical analysis believe that it is an useless exercise; their arguments are as follows:

(a) Most technical analysts are not able to offer a convincing explanation for the tools employed by them.

(b) Empirical evidence in support of random walk hypothesis cast its shadow over the usefulness of technical analysis.

(c) By the time an uptrend and down trend may have been signalled by technical analysis it may already have taken place.

(d) Ultimately technical analysis must be a self-defeating proposition. With more and more people employing it, the value of such analysis tends to decline.

In a nutshell, it may be concluded that in a rational, well ordered and efficient market, technical analysis may not work very well. However, with imperfection, inefficiency and irrationalities that characterizes the real-world market, technical analysis may be helpful. If technical analysis is used in conjunction with fundamental analysis, it might be useful in providing proper guidance to investment decision makers.

Jan 2026 Q4(c) · 4 marks — Technical analysis: identify chart patterns (uptrend, continuation/flag, head and shoulders, triangle/wedge) from descriptions, any four

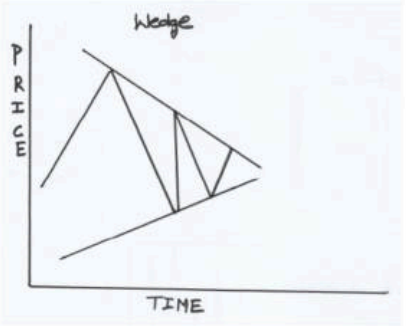
SM 2.8 Interpreting Price Patterns

2.8 Interpreting Price Patterns

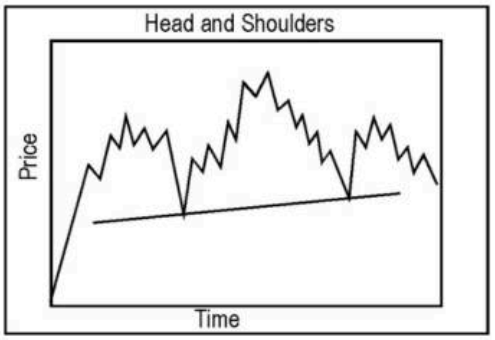
There are numerous price patterns documented by technical analysts but only a few and important of them have been discussed here:

(a) Channel: A series of uniformly changing tops and bottoms gives rise to a channel formation. A downward sloping channel would indicate declining prices and an upward sloping channel would imply rising prices.

(b) Wedge: A wedge is formed when the tops (resistance levels) and bottoms (support levels) change in opposite direction (that is, if the tops, are decreasing then the bottoms are increasing and vice versa), or when they are changing in the same direction at different rates over time.

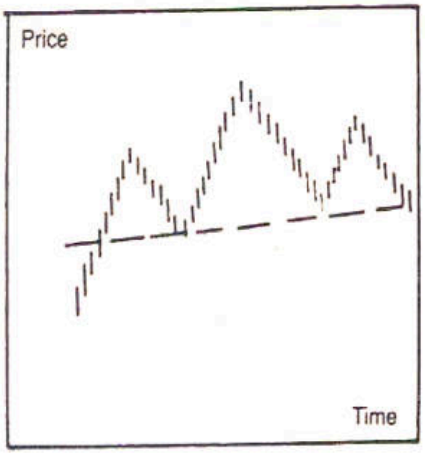


(c) Head and Shoulders: It is a distorted drawing of a human form, with a large lump (for head) in the middle of two smaller humps (for shoulders). This is perhaps the single most important pattern to indicate a reversal of price trend. The neckline of the pattern is formed by joining points where the head and the shoulders meet. The price movement after the formation of the second shoulder is crucial. If the price goes below the neckline, then a drop in price is indicated, with the drop expected to be equal to the distance between the top of the head and the neckline.

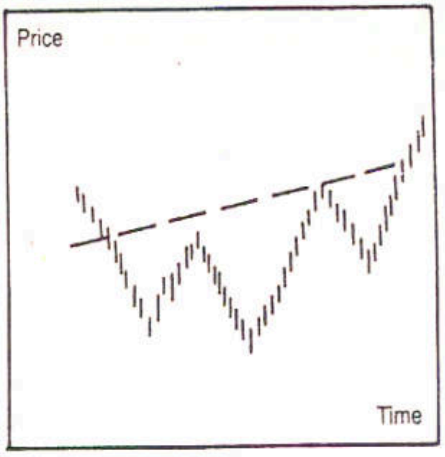


(i) *Head and Shoulder Top Pattern*: This has a left shoulder, a head and a right shoulder. Such formation represents bearish development. If the price falls below the neck line (line drawn tangentially to the left and right shoulders) a price decline is expected. Hence it's a signal to sell.

(ii) *Inverse Head and Shoulder Pattern*: As the name indicates this formation, it is an inverse of head and shoulder top formation. Hence it reflects a bullish development. The price rise to above the neck line suggests price rise is imminent and a signal to purchase.



HEAD & SHOULDERS



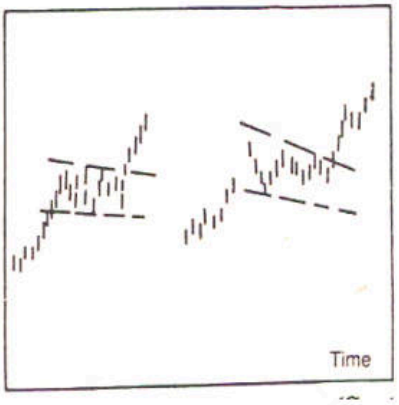
INVERSE HEAD & SHOULDERS

(d) Triangle or Coil Formation: This formation represents a pattern of uncertainty and is difficult to predict which way the price will break out.

(e) Flags and Pennants Form: This form signifies a phase after which the previous price trend is likely to continue.



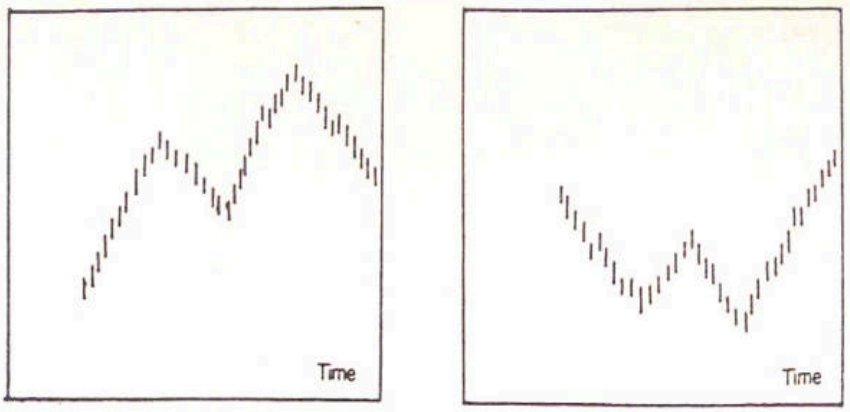
TRIANGLE OR COIL



FLAG & PENNANT

(f) Double Top Form: This form represents a bearish development signaling that price is expected to fall.

(g) Double Bottom Form: This form represents bullish development signaling price is expected to rise.



DOUBLE TOP **DOUBLE BOTTOM**

(h) Gap: A gap is the difference between the opening price on a trading day and the closing price of the previous trading day. The wider the gap the stronger the signal for a continuation of the observed trend. On a rising market, if the opening price is considerably higher than the previous closing price, it indicates that investors are willing to pay a much higher price to acquire the scrip. Similarly, a lower gap in a falling market is an indicator of extreme selling pressure.

May 2026 Q4(c) [either] · 4 marks — Elliott Wave Theory of technical analysis

SM 2.4.2 Elliot Wave Theory

2.4.2 Elliot Wave Theory

Inspired by the Dow Theory and by observations found throughout nature, Ralph Elliot formulated Elliot Wave Theory in 1934. This theory was based on analysis of 75 years stock price movements and charts. From his studies, he defined price movements in terms of waves. Accordingly, this theory was named Elliot Wave Theory. Elliot found that the markets exhibited certain repeated patterns or waves. As per this theory wave is a movement of the market price from one change in the direction to the next change in the same direction. These waves are resulted from buying and selling impulses emerging from the demand and supply pressures on the market. Depending on the demand and supply pressures, waves are generated in the prices.

As per this theory, waves can be classified into two parts:-

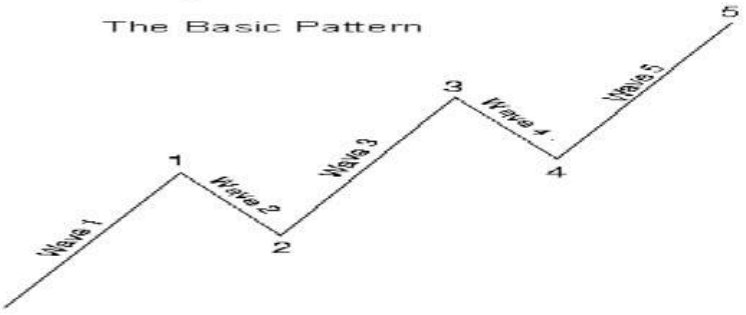
- Impulsive patterns
- Corrective patters

Let us discuss each of these patterns.

(a) **Impulsive Patterns-(Basic Waves) -** In this pattern there will be 3 or 5 waves in a given direction (going upward or downward). These waves shall move in the direction of the basic movement. This movement can indicate bull phase or bear phase.

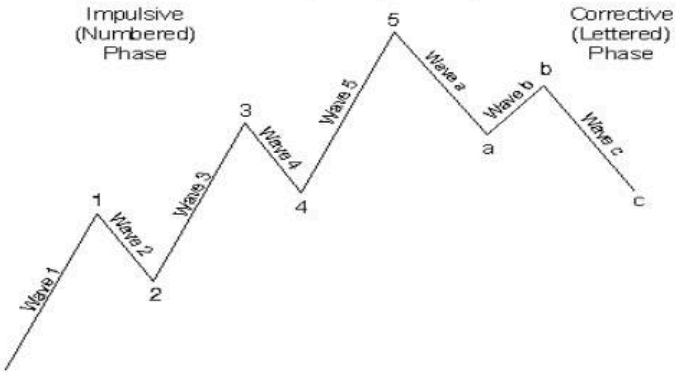
(b) **Corrective Patterns- (Reaction Waves) -** These 3 waves are against the basic direction of the basic movement. Correction involves correcting the earlier rise in case of bull market and fall in case of bear market.

As shown in the following diagram waves 1, 3 and 5 are directional movements, which are separated or corrected by wave 2 & 4, termed as corrective movements.



Source: http://elliotwave.net/

Complete Cycle -As shown in following figure five-wave impulses is following by a three-wave correction (a,b & c) to form a complete cycle of eight waves.



Source: http://elliotwave.net/

One complete cycle consists of waves made up of two distinct phases, bullish and bearish. On completion of full one cycle i.e. termination of 8 waves movement, the fresh cycle starts with similar impulses arising out of market trading.

Ch 7 Securitization

Sep 2025 Q3(c) · 4 marks — Risks associated with the use of blockchain technology

SM 10.2 Risks associated with Blockchain

10.2 Risks associated with Blockchain

Some of the risk associated with the use blockchain technology are as follows:

(i) With the use of blockchain, organizations need to consider risks with a wider perspective as different members of a particular blockchain may have different risk appetite/risk tolerances that may further lead to conflict when monitoring controls are designed for a blockchain. There may be questions about who is responsible for managing risks if no one party is in-charge, and how proper accountability is to be achieved in a blockchain.

(ii) The reliability of financial transactions is dependent on the underlying technology and if this underlying consensus mechanism has been tampered with, it could render the financial information stored in the ledger to be inaccurate and unreliable.

(iii) In the absence of any central authority to administer and enforce protocol amendments, there could be a challenge in the development and maintenance of process control activities and in such case, users of public blockchains find difficult to obtain an understanding of the general IT controls implemented and the effectiveness of these controls.

(iv) As blockchain involves humongous data getting updated frequently, risk related to information overload could potentially challenge the level of monitoring required. Furthermore, to find competent people to design and perform effective monitoring controls may again prove to be difficult.

Jan 2026 Q6(c) [or] · 4 marks — Securitisation instruments: pass-through, pay-through and stripped securities

SM 7. SECURITIZATION INSTRUMENTS

7. SECURITIZATION INSTRUMENTS

On the basis of different maturity characteristics, the securitized instruments can be divided into following three categories:

7.1 Pass Through Certificates (PTCs)

As the title suggests, originator (seller of the assets) transfers the entire receipt of cash in the form of interest or principal repayment from the assets sold. Thus, these securities represent direct claim of the investors on all the assets that has been securitized through SPV.

Since all cash flows are transferred, the investors carry proportional beneficial interest in the asset held in the trust by SPV.

It should be noted that since it is a direct route any prepayment of principal is also proportionately distributed among the securities holders. Further, due to these characteristics on completion of

securitization by the final payment of assets, all the securities are terminated simultaneously.

Skewness of cash flows occurs in early stage if principals are repaid before the scheduled time.

7.2 Pay Through Security (PTS)

As mentioned earlier, since, in PTCs all cash flows are passed to the performance of the securitized assets. To overcome this limitation and limitation of single maturity there is another structure i.e. PTS.

In contrast to PTC in PTS, SPV debt securities are backed by the assets and hence it can restructure different tranches from varying maturities of receivables.

In other words, this structure permits desynchronization of servicing of securities issued from cash flow generating from the asset. Further, this structure also permits the SPV to reinvest surplus funds for short term as per their requirement.

While in Pass Through, all cash flows are passed on immediate basis, in PTS in case of early retirement of receivables the surplus cash can be used for short term yield. This structure also provides the freedom to issue several debt tranches with varying maturities.

7.3 Stripped Securities

Stripped Securities are created by dividing the cash flows associated with underlying securities into two or more new securities. Those two securities are as follows:

(i) Interest Only (IO) Securities

(ii) Principle Only (PO) Securities

As each investor receives a combination of principal and interest, it can be stripped into two portion of Interest and Principle.

Accordingly, the holder of IO securities receives only interest while PO security holder receives only principal. Being highly volatile in nature these securities are less preferred by investors.

In case yield to maturity in market rises, PO price tends to fall as borrower prefers to postpone the payment on cheaper loans. Whereas if interest rate in market falls, the borrower tends to repay the loans as they prefer to borrow fresh at lower rate of interest.

In contrast, value of IO's securities increases when interest rate goes up in the market as more interest is calculated on borrowings.

However, when interest rate due to prepayments of principals, IO's tends to fall.

Thus, from the above, it is clear that it is mainly perception of investors that determines the prices of IOs and POs

May 2026 Q3(c) · 4 marks — Securitisation of NPAs: benefit to the balance sheet versus regulatory and valuation challenges

SM II. SECURITIZATION IN INDIA

11. SECURITIZATION IN INDIA

It is the Citi Bank who pioneered the concept of securitization in India by bundling of auto loans into securitized instruments.

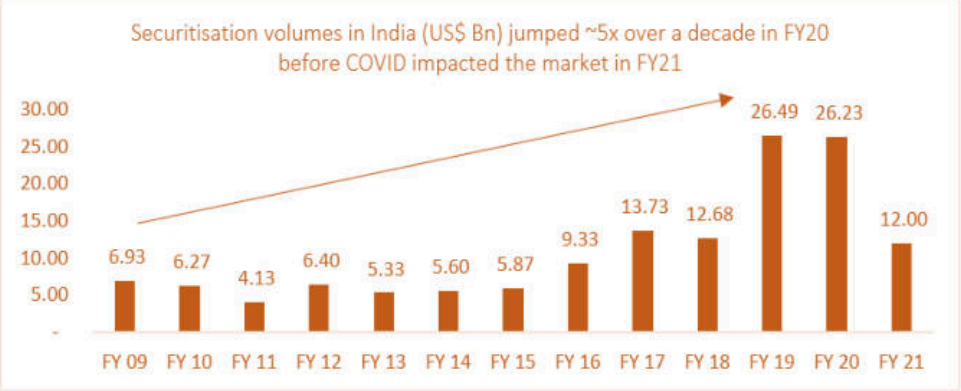
Thereafter many organizations securitized their receivables. Although it started with securitization of auto loans it moved to other types of receivables such as sales tax deferrals, aircraft receivable etc.

In order to encourage securitization, the Government has come out with Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002, to tackle the menace of Non-Performing Assets (NPAs) without approaching the Court.

With growing sophistication of financial products in Indian Capital Market, securitization has occupied an important place.

As mentioned above, though, initially started with auto loan receivables, it has become an important source of funding for micro finance companies and NBFCs and even now a days commercial mortgage backed securities are also emerging.

The important highlight of the scenario of securitization in Indian Market is that it is dominated by a few players e.g. ICICI Bank, HDFC Bank, NHB etc.



CRISIL estimates that securitisation market volumes may reach near pre-pandemic highs of ₹ 1.9 trillion (touched in FY19 & FY20) once the macro-situation and interest rates stabilise. Securitisation may also become a key funding source for non-banks who are looking to grow their loan book and simultaneously it can also be an attractive investment avenue for banks looking to grow their retail assets.

In order to further enhance the investor base in securitized debts, SEBI has allowed FPIs to invest in securitized debt of unlisted companies upto a certain limit.

Ch 15 Startup Finance

Sep 2025 Q1(c) · 4 marks — Steps in a business succession strategy

SM 8.3 Business succession strategy

8.3 Business succession strategy

Step 1 – Evaluate key leadership positions: - To evaluate which roles are critical, risk or impact assessment can be performed. Generally, these are such positions which would bring transformation to the entire business or create strategic direction for the organization.

Step 2 – Map competencies required for above positions: - In this step, one needs to identify qualifications, behavioral and technical competencies required to perform the role successfully.

Step 3 – Identify competencies of current workforce: - Identifying what are possible internal options that can deliver results as expected in Step-2, and also if there is a need for training and development of certain skills required. The organization should also place weight on whether is there a need to search outside the organization.

Step 4 – Bridge Leader: - In family owned business appointment of an outsider as 'bridge leaders' will help to develop the business and prepare young family members for leadership role.

Jan 2026 Q6(c) [either] · 4 marks — Role of government in creating a sustainable environment for start-ups in India

SM 7. STARTUP INDIA INITIATIVE



7. STARTUP INDIA INITIATIVE

Startup India scheme was initiated by the Government of India on 16th of January, 2016. As per GSR Notification 127 (E) dated 19th February 2019, an entity shall be considered as a Startup:

i. Upto a period of ten years from the date of incorporation/ registration, if it is incorporated as a private limited company (as defined in the Companies Act, 2013) or registered as a

partnership firm (registered under section 59 of the Partnership Act, 1932) or a limited liability partnership (under the Limited Liability Partnership Act, 2008) in India.

ii. Turnover of the entity for any of the financial years since incorporation/ registration has not exceeded one hundred crore rupees.

iii. Entity is working towards innovation, development or improvement of products or processes or services, or if it is a scalable business model with a high potential of employment generation or wealth creation.

Provided that an entity formed by splitting up or reconstruction of an existing business shall not be considered a 'Startup'.

What is a Startup to avail government schemes?



Up to 10 years from its date of incorporation / registration



Incorporated as either a Private Limited Company or a Registered Partnership Firm or a Limited Liability Partnership in India



Turnover for any fiscal year has not exceeded INR 100 crore



Entity should not have been formed by splitting up or reconstructing a business already in existence



Working towards innovation, development, deployment or commercialization of new product, processes or services driven by technology or intellectual property

Source: http://www.startupindia.gov.in/

The start-ups story of India got a major boost with the launch of Startup India and StandUp India programs in year 2016. It helped in creating widespread awareness in general public about start-ups and gave a boost to the entrepreneurial mindset. By setting up a SIDBI-run Electronic Development Fund (EDF), the Indian Government became a Limited Partner (LP) in a fund for the first time ever. Easy finance options such as Mudra Scheme, tax benefits such as 100% tax holiday under section 80-IAC and exemption from angel taxation also provided the much-needed push to the young Indian start-ups.

In January 2021, the Department for Promotion of Industry and Internal Trade (DPIIT) created the Startup India Seed Fund Scheme (SISFS) with an outlay of INR 945 Crore to provide financial assistance to start-ups for Proof of Concept, prototype development, product trials, market entry, and commercialization. It will support an estimated 3,600 entrepreneurs through 300 incubators in the next 4 years. A start-up, recognized by DPIIT, incorporated not more than 2 years ago at the time of application and having a business idea to develop a product or a service with a market fit, viable commercialization, and scope of scaling, can apply for SISFS. A start-up can get seed fund of as much as INR 50 Lakh under SISFS. The priority sectors for SISFS are social impact, waste management, water management, financial inclusion, education, agriculture, food processing, biotechnology, healthcare, energy, mobility, defence, space, railways, oil and gas, and textiles.

Apart from the support from government, there are quite a few other reasons why India became such a sustainable environment for start-ups to thrive in. Some of the major reasons are:

(i) **The Pool of Talent -** Our country has a big pool of talent. There are millions of students graduating from colleges and B-schools every year. Many of these students use their knowledge and skills to begin their own ventures, and that has contributed to the startup growth in India. In the past, much of this talent was attracted to only the big companies, but now that is slowly changing.

(ii) **Cost Effective Workforce -** India is a young country with over 10 million people joining the workforce every year. The workforce is also cost effective. So, compared to some other countries, the cost of setting up and running a business is comparatively lower.

(iii) **Increasing use of the Internet -** India has the world's second-highest population, and after the introduction of affordable telecom services, the usage of internet has increased significantly. It has even reached the rural areas. India has the second-largest internet user base after China, and companies as well as start-ups are leveraging this easy access to the internet.

(iv) **Technology -** Technology has made the various processes of business very quick, simple and efficient. There have been major developments in software and hardware systems due to which data storage and recording has become an easy task. Indian startups are now increasingly working in areas of artificial intelligence and blockchain technologies which is adding to the growth of businesses.

(v) **Variety of Funding Options Available -** Earlier there were only some very traditional methods available for acquiring funds for a new business model, which included borrowing from the bank or borrowing from family and friends. However, this concept has now changed. There are numerous options and opportunities available. Start-up owners can approach angel investors, venture capitalists, seed funding stage investors, etc. The easing of Foreign Direct Investment norms and opening up of majority of sectors to 100% automatic route has also opened the floodgates for foreign funding in the Indian start-up ecosystem.

May 2026 Q2(c) · 4 marks — True/False on start-up finance: valuation of early-stage firms, venture capital staging, bootstrapping, angel investors

SM 5.1 Sources of financing

5.1 Sources of financing

5.1.1 Bootstrapping

An individual is said to be bootstrapping when he or she attempts to start and build a company from personal finances or from the operating revenues of the new company.

A common mistake made by most founders is that they make unnecessary expenses towards marketing, offices and equipment they cannot really afford. So, it is true that more money at the inception of a business leads to complacency and wasteful expenditure. On the other hand, investment by startups from their own savings leads to a cautious approach. It curbs wasteful expenditures and enable the promoter to be on their toes all the time.

Here are some of the methods by which a startup firm can bootstrap:

(a) *Trade Credit:* When a person is starting his business, suppliers are reluctant to give trade credit. They will insist on payment of their goods supplied either by cash or by credit card. However, a way out in this situation is to prepare a well-crafted financial plan. The next step is to pay a visit to the supplier's office. If the business organization is small, the owner can be directly contacted. On the other hand, if it is a big firm, the Chief Financial Officer can be contacted and convinced about the financial plan.

Communication skills are important here. The financial plan has to be shown. The owner or the financial officer has to be explained about the business and the need to get the first order on credit in order to launch the venture. It will also help to get reference of someone known to the supplier who can confirm your credentials, integrity and if possible professional competence. The owner or financial officer may give half the order on credit and balance on delivery. The trick here is to get the goods shipped and sell them before paying to them. One can also borrow to pay for the good sold but there is interest cost also. So, trade credit is one of the most important way to reduce the amount of working capital one needs. This is especially true in retail operations.

(b) *Factoring:* This is a financing method where accounts receivable of a business organization is sold to a commercial finance company to raise capital. The factor then gets hold of the accounts receivable and assumes the task of collecting the receivables as well as doing what would've been the paperwork. Factoring can be performed on a non-notification basis. It means customers may not be told that their accounts have been sold.

However, there are merits and demerits to factoring. The process of factoring may reduce costs for a business organization. It can reduce costs associated with maintaining accounts receivable such as bookkeeping, collections and credit verifications. If comparison can be made between these costs and fee payable to the factor, in many cases it has been observed that it is fruitful to utilize this financing method.

In addition to reducing internal costs of a business, factoring also frees up money that would otherwise be tied to receivables. This is especially true for businesses that sell to other businesses or to government; there are often long delays in payment that this would offset. This money can be used to generate profit through other avenues of the company. Factoring can be a very useful tool for raising money and keeping cash flowing.

(c) Leasing: Another popular method of bootstrapping is to take the equipment on lease rather than purchasing it. It will reduce the capital cost and help lessee (person who take the asset on lease) to claim tax exemption. So, it is better to a take a photocopy machine, an automobile, or a van on lease to avoid paying out lump sum money which is not at all feasible for a startup organization.

Further, if you are able to shop around and get the best kind of leasing arrangement when you're starting up a new business, it's much better to lease. It's better, for example, to lease a photocopier say at ₹ 5,000 per month, rather than pay ₹ 1,00,000 or more for it; or lease your automobile or van to avoid paying out ₹ 5,00,000 or more.

There are advantages for both the startup businessman using the property or equipment (i.e. the *lessee*) and the owner of that property or equipment (i.e. the *lessor*.) The lessor enjoys tax benefits in the form of depreciation on the fixed asset leased and may gain from capital appreciation on the property, as well as making a profit from the lease. The lessee benefits by making smaller payments retain the ability to walk away from the equipment at the end of the lease term. The lessee may also claim tax benefit in the form of lease rentals paid by him.

5.1.2 Angel Investors

Despite being a country of many cultures and communities traditionally inclined to business and entrepreneurship, India still ranks low on comparative ratings across entrepreneurship, innovation, and ease of doing business. The reasons are obvious. These include our old and outdated draconian rules and regulations which provides a hindrance to our business environment for a long time. Other reasons are red tapism, our time-consuming procedures, and lack of general support for entrepreneurship. Of course, things are changing in recent times.

As per Investopedia, Angel investors invest in small startups or entrepreneurs. Often, angel investors are among an entrepreneur's family and friends. The capital angel investors provide may be a one-time investment to help the business propel or an ongoing injection of money to support and carry the company through its difficult early stages.

Angel investors provide more favorable terms compared to other lenders, since they usually invest in the entrepreneur starting the business rather than the viability of the business. Angel investors are focused on helping startups take their first steps, rather than the possible profit they may get from the business. This makes their approach slightly different from venture capitalists.

Angel investors are also called informal investors, angel funders, private investors, seed investors or business angels. They are affluent individuals who inject capital for startups in exchange for ownership equity or convertible debt. Some angel investors invest through crowdfunding platforms online or build angel investor networks to pool in capital.

Angel investors typically use their own money, unlike venture capitalists who take care of pooled money from many other investors and place them in a strategically managed fund.

Though angel investors usually represent individuals, the entity that actually provides the fund may be a limited liability company, a business, a trust or an investment fund, among many other kinds of vehicles.

Angel investors who seed startups that fail during their early stages lose their investments completely. This is why professional angel investors look for opportunities for a defined exit strategy, acquisitions or initial public offerings (IPOs).

5.1.3 Venture Capital Fund

Venture Capital Fund means investment vehicle that manage funds of investors seeking to invest in startup firms and businesses with exceptional growth potential. Venture capital is money provided by professionals who alongside management invest in young, rapidly growing companies that have the potential to develop into significant economic contributors.

5.1.3.1 Venture Capitalists generally

- Finance new and rapidly growing companies
- Purchase equity securities
- Assist in the development of new products or services.
- Add value to the company through active participation.

5.1.3.2 Characteristics of Venture Capital Financing

(i) **Long time horizon**: The fund would invest with a long-term horizon in mind. Minimum period of investment would be 3 years and maximum period can be 10 years.

(ii) **Lack of liquidity**: When VC invests, it takes into account the liquidity factor. It assumes that there would be less liquidity on the equity it gets and accordingly it would be investing in that format. They add an illiquidity premium in the price and required return.

(iii) **High Risk**: VC would not hesitate to take risk. It works on principle of high risk and high return. So, high risk would not eliminate the investment choice for a venture capital.

(iv) **Equity Participation**: Most of the time, VC would be investing in the form of equity of a company. This would help the VC participate in the management and help the company grow. Besides, a lot of board decisions can be supervised by the VC if they participate in the equity of a company and have a Board seat.

5.1.3.3 Advantages of bringing VC in the company

- It injects long- term equity finance which provides a solid capital base for future growth.
- The venture capitalist is a business partner, sharing both the risks and rewards. Venture capitalists are rewarded with business success and capital gain.
- The venture capitalist is able to provide practical advice and assistance to the company based on past experience with other companies which were in similar situations.
- The venture capitalist also has a network of contacts in many areas that can add value to the company.
- The venture capitalist may be capable of providing additional rounds of funding should it be required to finance growth.
- Venture capitalists are experienced in the process of preparing a company for an Initial Public Offering (IPO) of its shares onto the stock exchanges or overseas stock exchange such as NASDAQ.
- They can also facilitate a trade sale.

5.1.3.4 Stages of funding for VC

1. **Seed Money**: Low level financing needed to prove a new idea.
2. **Start-up**: Early-stage firms that need funding for expenses associated with marketing and product development.

3. **First-Round**: Early sales and manufacturing funds.
4. **Second-Round**: Working capital for early stage companies that are selling product, but not yet turning in a profit.
5. **Third Round**: Also called Mezzanine financing, this is expansion money for a newly profitable company.
6. **Fourth-Round**: Also called bridge financing, it is intended to finance the "going public" process.

Risk in each stage is different. An indicative Risk matrix is given below:

Financial Stage	Period (Funds locked in years)	Risk Perception	Activity to be financed
Seed Money	7-10	Extreme	For supporting a concept or idea or R&D for product development and involves low level of financing.
Start Up	5-9	Very High	Initializing prototypes operations or developing products and its marketing.
First Stage	3-7	High	Started commercial production and marketing.
Second Stage	3-5	Sufficiently high	Expanding market and growing working capital needs though not earning profit.
Third Stage	1-3	Medium	Market expansion, acquisition & product development for a profit making company. Also called Mezzanine Financing.
Fourth Stage	1-3	Low	Facilitating public issue i.e. going public. Also called Bridge Financing.

Ch 2 Risk Management

Sep 2025 Q4(c) [or] · 4 marks — Parameters used to identify currency risk

SM 1.4.4 Currency Risk

1.4.4 Currency Risk

This risk mainly affects the organization dealing with foreign exchange as their cash flows changes with the movement in the currency exchange rates. This risk can affect cash flow both adversely or

favorably. For example, if rupee depreciates vis-à-vis US$ receivables will stand to gain vis-à-vis to the importer who has the liability to pay bill in US$. The best case we can quote Infosys (Exporter) and Indian Oil Corporation Ltd. (Importer).

SM 4.4 Currency Risk

4.4 Currency Risk

Just like interest rate risk the currency risk is dependent on the Government action and economic development. Some of the parameters to identity the currency risk are as follows:

(1) Government Action: The Government action of any country has visual impact in its currency. For example, the UK Govt. decision to divorce from European Union i.e. Brexit brought the pound to its lowest since 1980's.

(2) Nominal Interest Rate: As per interest rate parity (IRP) the currency exchange rate depends on the nominal interest of that country.

(3) Inflation Rate: Purchasing power parity theory discussed in later chapters impact the value of currency.

(4) Natural Calamities: Any natural calamity can have negative impact.

(5) War, Coup, Rebellion etc.: All these actions can have far reaching impact on currency's exchange rates.

(6) Change of Government: The change of government and its attitude towards foreign investment also helps to identify the currency risk.

So far as the management of currency risk is concerned, it has been covered in a detailed manner in a separate chapter.

Jan 2026 Q3(c) · 4 marks — Political risk: host-government actions that signal it, and techniques to mitigate it

SM 1.4.2 Political Risk

1.4.2 Political Risk

Generally this type of risk is faced by and overseas investors, as the adverse action by the government of host country may lead to huge loses. This can be on any of the following form.

- Confiscation or destruction of overseas properties.
- Rationing of remittance to home country.
- Restriction on conversion of local currency of host country into foreign currency.
- Restriction as to borrowings.
- Invalidation of Patents
- Price control of products

SM 4.2 Political Risk

4.2 Political Risk

From the following actions by the Governments of the host country this risk can be identified:

1. Insistence on resident investors or labour.
2. Restriction on conversion of currency.
3. Expropriation of foreign assets by the local govt.
4. Price fixation of the products.

Since this risk mainly relates to investments in foreign country, company should assess country risk

(1) By referring political ranking published by different business magazines.

(2) By evaluating country's macro-economic conditions.

(3) By analysing the popularity of current government and assess their stability.

(4) By taking advises from the embassies of the home country in the host countries.

Further, following techniques can be used to mitigate this risk.

(i) Local sourcing of raw materials and labour.

(ii) Entering into joint ventures

(iii) Local financing

(iv) Prior negotiations

Ch 1 Financial Policy and Corporate Strategy

Sep 2025 Q2(c) · 4 marks — Key points that make an organisation financially sustainable

SM 6. BALANCING (up to 6.2)

6. BALANCING FINANCIAL GOALS VIS-A-VIS SUSTAINABLE GROWTH

The concept of sustainable growth can be helpful for planning healthy corporate growth. This concept forces managers to consider the financial consequences of sales increases and to set sales growth goals that are consistent with the operating and financial policies of the firm. Often, a conflict can arise if growth objectives are not consistent with the value of the organization's sustainable

growth. Question concerning right distribution of resources may take a difficult shape if we take into consideration the rightness not for the current stakeholders but for the future stakeholders also. To take an illustration, let us refer to fuel industry where resources are limited in quantity and a judicial use of resources is needed to cater to the need of the future customers along with the need of the present customers. One may have noticed the save fuel campaign, a demarketing campaign that deviates from the usual approach of sales growth strategy and preaches for conservation of fuel for their use across generation. This is an example of stable growth strategy adopted by the oil industry as a whole under resource constraints and the long run objective of survival over years. Incremental growth strategy, profit strategy and pause strategy are other variants of stable growth strategy.

Sustainable growth is important to enterprise long-term development. Too fast or too slow growth will go against enterprise growth and development, so financial should play important role in enterprise development, adopt suitable financial policy initiative to make sure enterprise growth speed close to sustainable growth ratio and have sustainable healthy development.

What makes an organisation financially sustainable?

To be financially sustainable, an organisation must:

- have more than one source of income;
- have more than one way of generating income;
- do strategic, action and financial planning regularly;
- have adequate financial systems;
- have a good public image;
- be clear about its values (value clarity); and
- have financial autonomy.

Source: CIVICUS "Developing a Financing Strategy".

6.1 Sustainable Growth Rate

The sustainable growth rate (SGR), concept by Robert C. Higgins, of a firm is the maximum rate of growth in sales that can be achieved, given the firm's profitability, asset utilization, and desired dividend payout and debt (financial leverage) ratios. The sustainable growth rate is a measure of how much a firm can grow without borrowing more money. After the firm has passed this rate, it must borrow funds from another source to facilitate growth. Variables typically include the net profit margin on new and existing revenues; the asset turnover ratio, which is the ratio of sales revenues to total assets; the assets to equity ratio; and the retention rate, which is defined as the fraction of earnings retained in the business.

SGR = ROE x (1- Dividend payment ratio)

Sustainable growth models assume that the business wants to:

1) maintain a target capital structure without issuing new equity;

2) maintain a target dividend payment ratio; and

3) increase sales as rapidly as market conditions allow.

Since the asset to beginning of period equity ratio is constant and the firm's only source of new equity is retained earnings, sales and assets cannot grow any faster than the retained earnings plus the additional debt that the retained earnings can support. The sustainable growth rate is consistent with the observed evidence that most corporations are reluctant to issue new equity. If, however, the firm is willing to issue additional equity, there is in principle no financial constraint on its growth rate. Indeed, the sustainable growth rate formula is directly predicted on return on equity.

Economists and business researchers contend that achieving sustainable growth is not possible without paying heed to twin cornerstones:

- growth strategy and
- growth capability.

Companies that pay inadequate attention to one aspect or the other are doomed to fail in their efforts to establish practices of sustainable growth (though short-term gains may be realized). After all, if a company has an excellent growth strategy in place but has not put the necessary infrastructure in place to execute that strategy, long-term growth is impossible. The reverse is also true.

The very weak idea of sustainability requires that the overall stock of capital assets should remain constant. The weak version of sustainability refers to preservation of critical resources to ensure support for all, over a long-time horizon. The strong concept of sustainability is concerned with the preservation of resources under the primacy of ecosystem functioning. These are in line with the definition provided by the economists in the context of sustainable development at macro level.

What makes an organisation sustainable?

In order to be sustainable, an organisation must:

- have a clear strategic direction;
- be able to scan its environment or context to identify opportunities for its work;
- be able to attract, manage and retain competent staff;
- have an adequate administrative and financial infrastructure;
- be able to demonstrate its effectiveness and impact in order to leverage further resources; and
- get community support for, and involvement in its work.

Source: CIVICUS "Developing a Financing Strategy".

The sustainable growth model is particularly helpful in situations in which a borrower requests additional financing. The need for additional loans creates a potentially risky situation of too much debt and too little equity. Either additional equity must be raised, or the borrower will have to reduce the rate of expansion to a level that can be sustained without an increase in financial leverage.

Mature firms often have actual growth rates that are less than the sustainable growth rate. In these cases, management's principal objective is finding productive uses for the cash flows that exist in excess of their needs. Options available to business in such cases includes returning the money to shareholders through increased dividends or common stock repurchases, reducing the firm's debt load, or increasing possession of lower earning liquid assets. These actions serve to decrease the sustainable growth rate. Alternatively, these firms can attempt to enhance their actual growth rates through the acquisition of rapidly growing companies.

Growth can come from two sources: increased volume and inflation. The inflationary increase in assets must be financed as though it were real growth. Inflation increases the amount of external financing required and increases the debt-to-equity ratio when this ratio is measured on a historical cost basis. Thus, if creditors require that a firm's historical cost debt-to-equity ratio stay constant, inflation lowers the firm's sustainable growth rate.

Mitsubishi Corporation (MC): New Strategic Direction (charting a new path toward sustainable growth)

Mitsubishi Corporation has abolished its traditional "*midterm management plan*" concept of committing to fixed financial targets three years in the future, in favour of a long-term, circa 2020 growth vision. The "*New Strategic Direction*" consists of basic concepts on management policy together with business and market strategies. It seeks to recognize the Company's value and upside potential as

a *sogo shosha* capable of "*providing stable earnings throughout business cycles by managing a portfolio diversified by business model, industry, market and geography*".

MC remains dedicated to sustainable growth but as evidenced by its guiding philosophy, the "Three Corporate Principles", its business activities are even more committed to helping solve problems in Japan and around the world. Its chief goal is to contribute to sustainable societal growth on a global scale.

The summary of this New Strategic Direction is:

- Future pull approach eyeing 2020 with a vision to double the business by building a diversified but focussed portfolio.
- Clear portfolio strategy: Select winning businesses through proactive reshaping of portfolio.
- Grow business and deliver returns while maintaining financial discipline.

May 2026 Q1(c) · 4 marks — Sustainable growth rate versus target growth: concerns on an extra loan request and alternative courses of action

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Ch 9 Derivatives Analysis and Valuation

Jan 2026 Q2(c) · 4 marks — Real options versus financial options: underlying asset, pay-off, exercise period, approach

SM 9.1 How Real Option is different from Financial Option

9.1 How Real Option is different from Financial Option

Before we further discuss the various aspects of Real Option it is important to first understand How Real Option is different from Financial Option which is as follows:

Basis	Financial Options	Real Options
Underlying	Have underlying assets that are normally traded in the market i.e. shares, stocks, bonds, commodity etc.	Have underlying the projects that are not traded in the market.
Pay-off	In most of the cases it is specified in the contracts and hence is fixed.	It is estimated from the project cash flows and hence can be varied.
Exercise Period	Mostly the period of these options is short and can go maximum upto 1 year.	The period of these options mostly starts from the end of 1st year and higher than the Financial Options.
Approach	Since these options are normally traded in the market they are "Priced".	Since these options are used to make decisions, they are "Valued".

The following is a list of options that may exist in a capital budgeting project.

Long call:

- Right to invest at some future date, at a certain price.
- Generally, any flexibility to invest, to enter a business, to expand a business.

Long put:

- Right to sell at some future date at a certain price.
- Right to abandon at some future date at zero or certain price.
- Generally, any flexibility to disinvest, to exit from a business.

Short call:

- Promise to sell if the counterparty wants to buy.
- Generally, any commitment to disinvest upon the action of another party.

Short put:

- Promise to buy if the counterparty wants to sell.
- Generally, any commitment to invest upon the action of another party.

Ch 10 Foreign Exchange Exposure and Risk Management

May 2026 Q5(c) · 2 marks — Why transaction exposure is generally more critical than translation exposure

SM 10. FOREIGN EXCHANGE EXPOSURE (up to 10.3)

10. FOREIGN EXCHANGE EXPOSURE

"An Exposure can be defined as a Contracted, Projected or Contingent Cash Flow whose magnitude is not certain at the moment. The magnitude depends on the value of variables such as Foreign Exchange rates and Interest rates."

Accordingly Foreign Exchange exposure refers to those parts of a company's business that would be affected if exchange rate changes. Foreign exchange exposures arise from many different activities.

For example, travellers going to visit another country have the risk that if that country's currency appreciates against their own their trip will be more expensive.

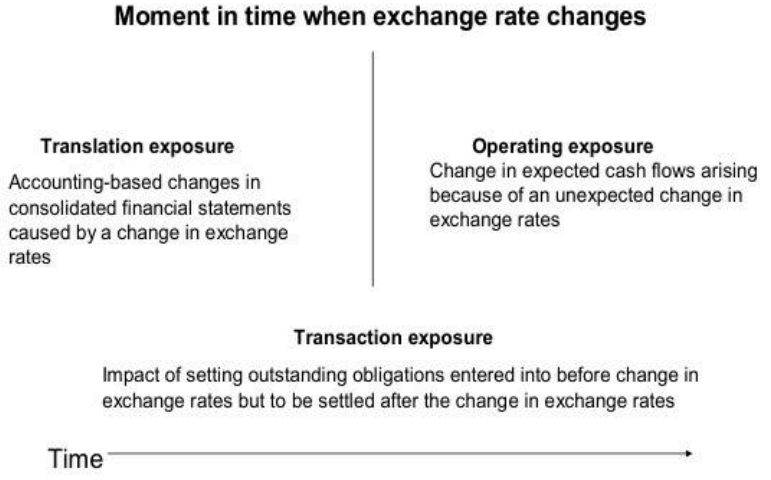
An exporter who sells his product in foreign currency has the risk that if the value of that foreign currency falls then the revenues in the exporter's home currency will be lower.

An importer who buys goods priced in foreign currency has the risk that the foreign currency will appreciate thereby making the local currency cost greater than expected.

Fund Managers and companies who own foreign assets are exposed to fall in the currencies where they own the assets. This is because if they were to sell those assets their exchange rate would have a negative effect on the home currency value.

Other foreign exchange exposures are less obvious and relate to the exporting and importing in ones local currency but where exchange rate movements are affecting the negotiated price.

The foreign exchange exposure may be classified under three broad categories:



10.1 Transaction Exposure

It measures the effect of an exchange rate change on outstanding obligations that existed before exchange rates changed but were settled after the exchange rate changes. Thus, it deals with cash flows that result from existing contractual obligations.

Example: If an Indian exporter has a receivable of $100,000 due in six months hence and if the dollar depreciates relative, to the rupee a cash loss occurs. Conversely, if the dollar appreciates relative to the rupee, a cash gain occurs.

The above example illustrates that whenever a firm has foreign currency denominated receivables or payables, it is subject to transaction exposure and their settlements will affect the firm's cash flow position.

It measures the changes in the value of outstanding financial obligation incurred prior to a change in exchange rates but not due to be settled until after the exchange rates change.

Thus, it deals with the changes in the cashflow which arise from existing contractual obligation.

In fact, the transaction exposures are the most common ones amongst all the exposures. Let's take an example of a company which exports to US and the export receivables are also denominated in USD. While doing budgeting the company had assumed rate of ₹ 62 per USD. By the time the exchange inward remittance arrives USD/INR could move down to ₹ 57 leading to wiping off of commercial profit for exporter. Such transaction exposures arise whenever a business has foreign currency denominated receipts or payments. The risk is an adverse movement of the exchange rate from the time the transaction is budgeted till the time the exposure is extinguished by sale or purchase of the foreign currency against the domestic currency.

10.2 Translation Exposure

It refers to gains or losses caused by the translation of foreign currency assets and liabilities into the currency of the parent company for consolidation purposes.

Translation exposure, also called as accounting exposure, is the potential for accounting derived changes in owner's equity to occur because of the need to "translate" foreign currency financial statements of foreign subsidiaries into a single reporting currency to prepare worldwide consolidated financial statements.

Translation exposures arise due to the need to "translate" foreign currency assets and liabilities into the home currency for the purpose of finalizing the accounts for any given period. A typical example of translation exposure is the treatment of foreign currency loans.

Consider that a company has taken a medium term loan to finance the import of capital goods worth dollars 1 million. When the import materialized, the exchange rate was, say, USD/INRR-55. The imported fixed asset was, therefore, capitalized in the books of the company at ₹ 550 lacs through the following accounting entry:

Debit fixed assets ₹ 550 lacs

Credit dollar loan ₹ 550 lacs

In the ordinary course assuming no change in the exchange rate, the company would have provided depreciation on the asset valued at ₹ 550 lacs, for finalizing its account for the year in which the asset was purchased.

However, what happens if at the time of finalization of the accounts the exchange rate has moved to say USD/INR-58. Now the dollar loan will have to be "translated" at ₹ 58, involving a "translation loss" of a ₹ 30 lacs. It shall have to be capitalized by increasing the book value of the asset, thus making the figure ₹ 580 lacs and consequently higher depreciation will have to be provided, thus reducing the net profit.

It will be readily seen that both transaction and translation exposures affect the bottom line of a company. The effect could be positive as well if the movement is favourable – i.e., in the cited examples, in case the USD would have appreciated and the USD would have depreciated against the rupee.

An important observation is that the translation exposure, of course, becomes a transaction exposure at some stage: the dollar loan has to be repaid by undertaking the transaction of purchasing dollars.